

whatsoever in the funds that now exist when more than half of their managers won't put their own money on the line?

In fact, it is clear that fund investors no longer muster much faith in their mutual funds. A survey of fund investors conducted for one prominent fund manager (not Vanguard) found that 71 percent of investors don't trust the fund industry. Some 66 percent said fund firms don't take responsibility for protecting their shareholders' well-being. And even in the deeply troubled financial sector, mutual funds are at the bottom of the list of trusted service providers.

Back to Basics

So mark me down as a believer in innovation that is based on clarity, consistency, predictability relative to the market, and low cost; innovation that will serve investors over the long term; innovation that provides an optimal opportunity that it will work tomorrow rather than innovation based on what worked yesterday; innovation that not only minimizes the risks of ownership but clearly explains the nature and extent of those risks.

Mark me down, too, as an adversary of complexity, complexity that obfuscates and confuses, complexity that comes hand in hand with costs that serve its creators and marketers even as those costs thwart the remote possibility that a rare sound idea will serve those investors who own it.

If it sounds like I'm reaffirming my belief in the index fund—in both its stock form and its bond form—and in ideas like tax-managed funds, defined-maturity bond funds, and target-date funds (all of which, at their best, have index funds at their core), well, you read me loud and clear. Like William of Occam, I believe that the simple way is the best way—almost always the shortest route to long-term investment success.

Mark me down, too, as an index fundamentalist (though not a fundamental index fundamentalist!), a passionate believer that the simplicity of the original index fund design—highly diversified portfolios of stocks weighted by their market capitalizations—